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Line 8

25-CIV-07292 MARIO FAUSTO, ET AL VS. OLGA ALEXANDER, ET AL

MARIO FAUSTO
OLGA ALEXANDER

PRO SE
YANG WENYAO

Defendants Ole Ventures, Inc and Ole Travel, Inc.'s Motion to Quash Service of Summons (C.C.P. § 418.10 and to Set Aside Entry of Default (C.C.P. §§ 473(b), 473(d), 473.5)

TENTATIVE RULING:

Defendants Ole Ventures, Inc and Ole Travel, Inc.'s Motion to Quash Service of Summons and to Set Aside Entry of Default are GRANTED in part and DENIED in part.

Summary of Facts

Per the Court's registry, this action was initiated on September 17, 2025 (Complaint, filed /17/2025), with a First Amended Complaint ("FAC") then filed on December 10, 2025 (FAC, filed 12/10/2025). On April 14, 2026, Plaintiff filed four separate Proofs of Service ("POS") of Summons on corporate Defendants Ole Ventures, Inc., Ole Travel, Inc., and two individuals who are not part of this motion. POS's filed 4/14/2026)

Both of the POS on the corporate defendants are largely identical; to wit, they claim service upon Patricia Tregear as Agent for Service for both corporate defendants on March 11, 2026, both by substitute service on a "Jane Doe" with description attached, and with box 5.b.(1) marked which reflects service on "a person at least 18 years of age apparently in charge at the office of usual place of business of the person to be served. as a person apparently in charge. I informed him or her of the general nature of the papers." POS's filed 4/14/2026. Both POS's are signed by Donald Schlipp a registered process server, Registration No. 496 in San Mateo County. *Id.* The address listed on both POS, is "44 Visitacion Ave. 200 Brisbane, CA 94005." *Id.* On April 30, 2026, defaults were then entered against both corporate defendants.

Legal Discussion

When a defendant challenges the court's personal jurisdiction on the ground of improper service of process, the burden is on the plaintiff to prove the facts establishing effective service. *Summers v. McClanahan* (2006) 140 Cal.App.4th 403, 413. Evidence Code Section 647 also provides:

The return of a process server registered pursuant to Chapter 16 (commencing with Section 22350) of Division 8 of the Business and Professions Code upon process or notice establishes a presumption, affecting the burden of producing evidence, of the facts stated in the return.

In this case, we have two POS's by a registered process server, so there is a presumption of valid service on both of the corporate defendants. As the relevant corporate history for both is slightly different, each will be addressed separately.

Ole Ventures, Inc. – Motion to Quash

Ole Ventures, Inc. filed a Statement of Information with the Secretary of State on March 25, 2024, wherein it listed Patricia Tregear as the agent for service of process at the address of 44 Visitacion Avenue, Suite 200, Brisbane, CA 94005 (hereinafter the "Subject Address"). Fausto Decl., Exh. 3. However, as defendant points out, Plaintiff has also put before the Court this company's Certificate of Surrender filed with the Secretary of State on December 22, 2025. Fausto Decl., Exh. 1. While the Certificate of Surrender still lists the Subject Address as a "mailing address," it then automatically was no longer a valid address for service on the designated agent. The Certificate of Surrender clearly outlines:

- b) The corporation revokes its designation of agent for service of process in California.
- c) The corporation consents to process against it in any action... may be served upon the California Secretary of State."

Certificate of Surrender, Fausto Decl, Exh. 1.

Undisputedly, Plaintiff only attempted a sub-serve at the Subject Address, on a date after the Certificate of Surrender, i.e. on a date where Ole Ventures, Inc. no longer had a valid agent for service of process nor a valid address for personal or sub-service on such an agent. Plaintiff has not met the burden of establishing valid service, the default on Ole Ventures, Inc. is set-aside, and the Proof of Service on Ole Ventures, Inc. filed on April 14, 2026, is quashed.

Ole Travel, Inc. – Motion to Quash

Ole Travel, Inc. filed its Statement of Information with the Secretary of State on January 27, 2026, where it listed Patricia Tregear as the agent for service of process at the address of 44 Visitacion Avenue, Suite 200, Brisbane, CA 94005 (hereinafter the "Subject Address"). Fausto Decl., Exh. 2. Defendant's opposition essentially concedes this point, and nowhere in Defendant's opposition is it raised that this Statement of Information was not valid on the date of service per the POS on file.

Instead, Defendant provides a Declaration by Ms. Tregear asserting (1) she was not present at the Subject Address on the date of service of March 11, 2026, (2) she was not personally served, (3) that she did not authorize anyone to accept service, and that (4) Ole Travel, Inc. had at the time only limited operations at the subject address. Tregear Decl., filed 7/6/2026. None of these assertions carry the day. An agent does not have to be personally present, or personally served as sub-service is allowed. An agent is not required to authorize someone to accept service for sub-service to be valid, and the limited operation of this business is irrelevant under these circumstances. Ms. Tregear was and apparently still is the agent for service for Ole Travel, Inc., she was sub-served at the listed address as the agent. The POS on Ole Travel, Inc. is valid, and is therefore not quashed.

As a consequence, the Court now addresses Ole Travel, Inc.'s related request for relief from default.

Ole Travel, Inc. – Motion to Set Aside Default

Legal Standard

A court may relieve a party from any proceeding taken against it through its “mistake, inadvertence, surprise, or excusable neglect” on “any terms as may be just.” (Code of Civ. Proc. (“CCP”), § 473, subd. (b).) The moving party must show that the act or omission resulting in the default is one that a reasonably prudent person might have committed under similar circumstances. (*Renteria v. Juvenile Justice, Dept. of Corrections & Rehabilitation* (2006) 135 Cal.App.4th 903, 910.) This showing must be made by specific facts under a preponderance of the evidence standard, and without an attorney affidavit of fault, relief is discretionary. (*Lorenz v. Commercial Accept. Ins. Co.* (1995) 40 Cal.App.4th 981, 989; and *Hopkins & Carley v. Gens* (2011) 200 Cal.App.4th 1401, 1410.)

In addition, the party must show that the motion for relief was filed “within a reasonable time, in no case exceeding six months” after the default is entered. (CCP § 473, subd. (b); *Kramer v. Traditional Escrow, Inc.* (2020) 56 Cal.App.5th 13, 28.) Whether a motion for relief was filed within a reasonable time depends on the circumstances of the case, but a grant of relief requires a showing of the moving party’s diligence in seeking relief upon discovery of the default. (*Stafford v. Mach* (1998) 64 Cal.App.4th 1174, 1181.)

However, “where the party in default moves promptly to seek relief, and the party opposing the motion will not suffer prejudice if relief is granted,” only “very slight evidence will be required to justify a court in setting aside the default.” (*Brochtrup v. INTEP* (1987) 190 Cal.App.3d 323, 329 [quotation marks removed].) The party opposing relief has the burden of showing prejudice. (*Aldrich v. San Fernando Valley Lumber Co.* (1985) 170 Cal.App.3d 725, 740.) “Because the law favors disposing of cases on their merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default.” (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 980 [quotation mark omitted].)

Here, the POS on Ole Travel, Inc. was filed on April 14, 2026, with a default entered on April 30, 2026. Defendant then filed this motion to quash and set aside default on July 6, 2026, roughly two months later. The motion is timely and was brought within a reasonable time.

Discussion

On the merits, both parties spend only minimal argument on this issue. Plaintiff largely banked on prevailing on the motions to quash arguing the motion to set aside default “Rises Or Falls” with Defendants’ service challenge. Opp., pg. 9, lines 21-22. Plaintiff provides no other argument. Defendant’s argument is also minimal, essentially that the Defendant did not receive “actual notice” (Mtn. pg. 12, line 23), that there was no attempted evasion of service and Plaintiff will not be prejudiced. However, the Declaration by the CEO of Ole Travel, Inc. provides the more relevant details in:

“The Corporate Defendants first became aware of this action in approximately April 2026 after learning of the case through the Odyssey court docket.”

“The Corporate Defendants’ lack of actual notice was not caused by any intentional avoidance of service or by inexcusable neglect”

Defendant then promptly engaged an attorney to bring the present motion. Defendant meets its burden and there is zero showing of prejudice to the Plaintiff. Thus the Motion to Set Aside Default is GRANTED, and the default against Ole Travel, Inc. is set aside.

Under the code, Defendant was required to submit a copy of its Answer with this motion. CCP § 473.5(b). Defendant indicates a proposed Answer was submitted. Motion, pg. 13, line 5, and the Proof of Service for this motion filed on July 6, 2026 does list a proposed Answer as being served on Plaintiff's counsel. However, no such proposed Answer is on file (typically this should be attached to defense counsel's declaration, of which there is none).

Defendant Ole Travel, Inc. is to separately file its proposed Answer (that was served on Plaintiff's counsel on July 6, 2026), within 15 days from service of the Order after hearing. CCP § 418.10(b).

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part "prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling" (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.
